

TVS Motor Company Ltd (TVSMOTOR)

Sector: Consumer Discretionary

ROE

26.2%

ROCE

13.8%

D/E

3.83x

OPM

14.1%

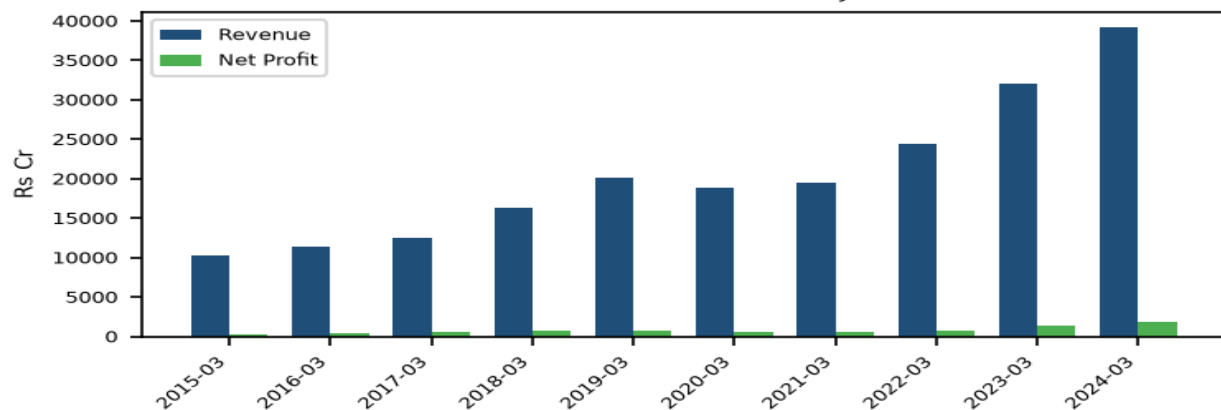
Revenue CAGR 5yr

14.2%

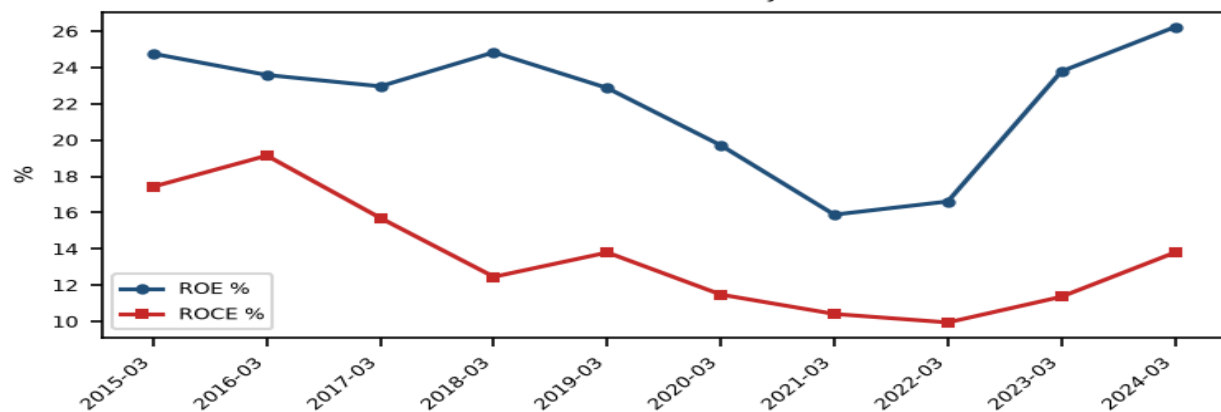
Free Cash Flow

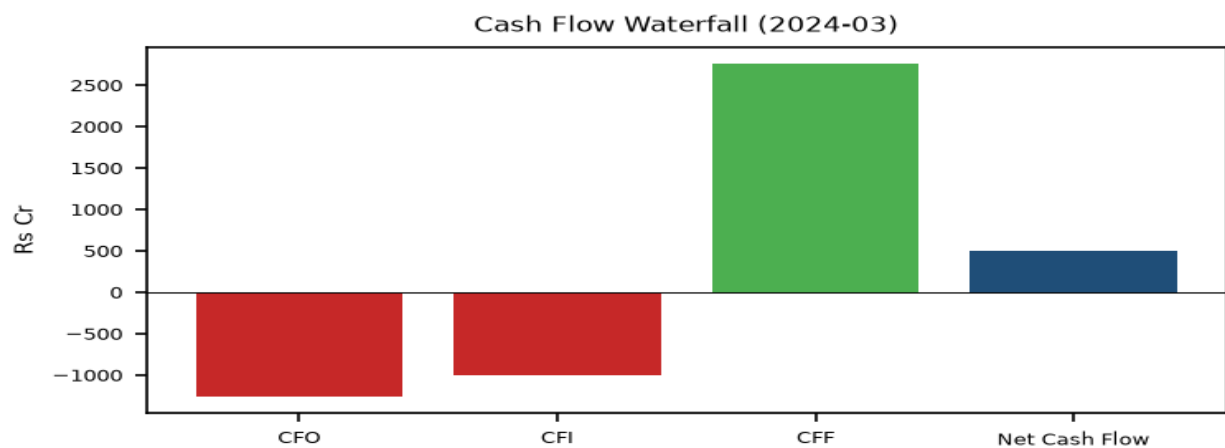
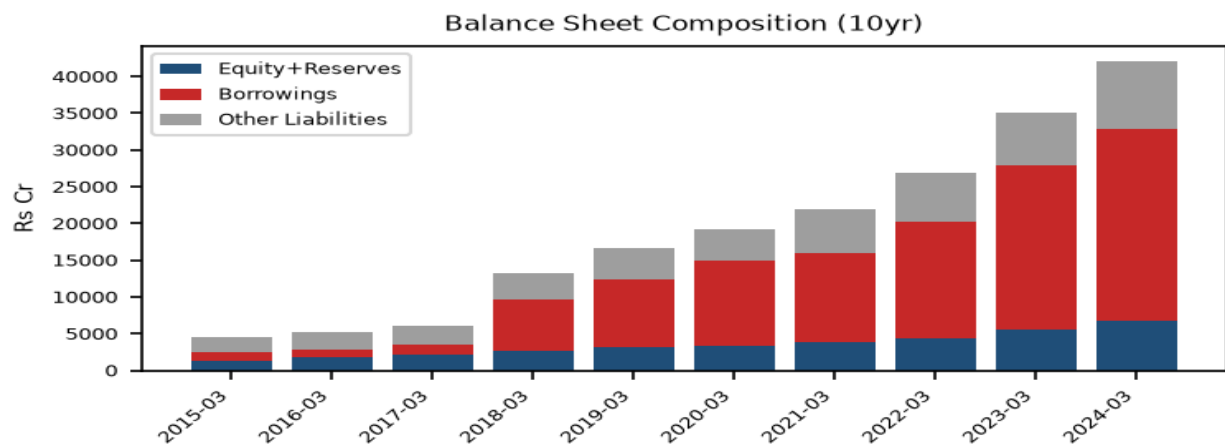
Rs -2,254 Cr

Revenue & Net Profit (10yr)



ROE vs ROCE (10yr)





Pros

- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Growing asset base funded by internal accruals reflects self-sustaining growth

Cons

- Debt-to-equity ratio of 3.83 is elevated for a non-financial company and warrants monitoring
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality

Capital Allocation: Growth Funded by Debt